

One year later

Buyer A
Sells E-type Jaguar
for \$55,000, making
profit of \$5,000

\$55,000

E-TYPE

A

\$5,000

One year later



The diagram illustrates the value of the investment after one year. It shows a calendar icon with a red top and purple grid, indicating the passage of time. Below the calendar, there are eight red cars, each with '\$55,000' on its windshield, representing the total value of the investment after one year.

This is a legal process that releases a person (or company) from almost all of their debts. People (and companies) can declare bankruptcy if they do not have a realistic chance of repaying their debts depending on the type of bankruptcy filed. Although it can offer a fresh start, the financial consequence can be that it adversely affects a person's credit rating, and therefore their ability to borrow in the future.